Budget is an annual financial statement. In case of central government Article 112 and in case of state government Article 202 of the Indian Constitution requires the annual financial statement to be laid before the respective legislatures. The budget is a statement of accounts of the Government.

Pranab Mukherjee observes: "The Union Budget cannot be a mere statement of Government accounts. It has to reflect the Government's vision and signal the policies to come in future."[1] So it is more than just a financial statement.

Railway Budget was separated from General Budget since 1921 on the recommendation of "Acworth Committee". this practice was continued till 2016–17 Budget. From 2017–18 budget it is merged with General Budget on the recommendation of the committee headed by Bibek Debroy.
General Budget contains estimated receipts and expenditure for one year usually. It has three sets of figures as under;

1. Actual figure of the previous year
2. Budget and Revised figure for the current year
3. Budget estimate for the upcoming year

Budget estimates are based on the previous two year estimates.

If it is the budget of 2009–10, the previous year is 2007–08, the current year is 2008–09 and the coming year is 2009–10. Here a confusion may arise regarding the years mentioned. You may raise the question as to how 2008–09 will become current year for 2009–10 budget. Please remember that the budget for 2009–10 is submitted at the end of the fiscal year 2008–09. So it becomes the current year. Accordingly other years also come to be mentioned.

The estimated receipts and expenditures are essentially made into and out of following funds. They are shown in the figure 5.1.